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Canada: Canadian Commercial Bank Emergency Liquidity Program, 1985¹

Adam Keanie² and Léo Brougher³

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Abstract

In March 1985, the Canadian Commercial Bank (CCB)—Canada’s 10th largest bank, with CAD 2.9 billion in assets—reported to the Office of the Inspector General of Banks (OIGB) and the Bank of Canada (BoC) that CCB would not survive owing to large losses on its United States energy loans portfolio. In response, the BoC assembled an emergency CAD 255 million rescue package, secured through contributions from a consortium composed of the federal government, the provincial government of Alberta, the Canadian Deposit Insurance Corporation, and Canada’s six largest banks. Despite the BoC’s reassurances, including a public announcement promising virtually unlimited liquidity support, confidence in CCB continued to decline. By the time the bank failed, it depended on BoC support for approximately 65% of its total outstanding deposits, totaling CAD 1.3 billion. In the summer of 1985, as part of a full examination of CCB’s loan book, authorities uncovered a significant number of additional impaired loans, confirming that the bank was deeply insolvent. This insolvency prompted the OIGB to declare the CCB nonviable on September 1, 1985, marking Canada’s first bank failure in 62 years. The collapse of CCB triggered forced acquisitions of other significant regional banks and led to substantial regulatory reforms in Canada’s financial sector.

Keywords: ad hoc emergency liquidity, Bank of Canada, Canadian Commercial Bank, Office of the Inspector General of Banks

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of some of the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study is about the ad hoc emergency liquidity the Bank of Canada (BoC) provided to the Canadian Commercial Bank (CCB) from late March until the end of August 1985. This facility was part of a support package for CCB, which included a component aimed at restoring solvency; authorities liquidated the bank once the full extent of the problems with its loan book became apparent (MacIntosh 1991). (See Estey [1986] for a longer discussion of the solvency restoration efforts and the associated controversies.)

CCB faced issues including a concentrated loan portfolio, insufficient capital base, reliance on wholesale deposits, poor lending practices, and dubious accounting methods like capitalizing unpaid interest. The United States Federal Deposit Insurance Corporation (FDIC), which supervised CCB's Westlands Bank subsidiary in California, identified these problems in the fall of 1983, issuing a "highly critical" report to the bank (Estey 1986, 82). To save Westlands and assuage FDIC concerns, CCB injected capital and transferred a number of problem loans to Los Angeles Agency, another US-based CCB subsidiary, which was supervised by the Federal Reserve Bank of San Francisco. In February 1985, the Federal Reserve Board (Fed) issued a report in which it deemed a portfolio of USD 108 million in predominately energy loans "doubtful and substandard" (Estey 1986, 82).

By early 1985, the bank was no longer earning a positive net interest margin because of its high proportion of nonperforming loans. The Estey Commission, a federally mandated investigation into the collapse of CCB and Northland Bank led by Supreme Court

Key Terms

Purpose: "To prevent the failure of the particular institution which is illiquid but still solvent and to preserve confidence in that institution and in other deposit-taking institutions and the financial system" (Bank of Canada 1986, 2)

Announcement Date	March 25, 1986
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Operational Date	March 25, 1986
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Termination Date	September 1, 1986
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Legal Authority	Bank of Canada Act § 18(h)
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Administrator	Bank of Canada
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Peak Authorization	Consortium loan: CAD 255 million; BoC loan: No stated limit; 75% to 80% of collateral book value was a threshold
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Peak Outstanding	CAD 1.3 billion from the BoC and CAD 255 million from the Consortium
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Collateral	Canadian and US dollar loan portfolios
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Haircut and Recourse	20 to 25%
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Interest Rate and Fees	Not available; described as "favourable" (Estey 1986, 115)
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Term	Six months, renewable
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Part of a Package	The Department of Finance announced the CAD 255 million emergency rescue package from the public-private consortium and the BoC's availability of liquidity in the same press release
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Outcomes	The parallel liquidity support from the consortium and BoC did not stop the exodus of depositors and creditors from the bank; even the consortium banks reduced their business with CCB;
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(continued)

Justice Willard Estey, stated retrospectively, “No bank in this condition had a future and the CCB was no exception” (Estey 1986, 102). On March 14, 1985, CCB CEO Gerry McLaughlan flew to Ottawa to make unannounced presentations to officials at the BoC and the Office of the Inspector General of Banks (OIGB)—the Canadian bank supervisor at the time—in which he said the bank would not survive unless the government provided it “massive assistance” (Estey 1986, 105). Canadian authorities feared the prospect of a “tidal wave effect” on similarly situated regional financial institutions (Estey 1986, 107). They were also aware that the bank was “hopelessly insolvent,” as it faced immediate write-offs of CAD 244 million⁴ against CAD 130 million of capital (Estey 1986, 111). The CCB’s management proposed a rescue plan involving the “purchase of the aggregate loan losses” of CAD 244 million by the Canadian Deposit Insurance Corporation (CDIC) in exchange for share warrants and a 50% share of future profits until the funds were repaid (Estey 1986, 108). The CDIC at the time insured bank deposits up to CAD 60,000 per depositor. “Purchasing losses” meant obtaining a claim on a junior tranche of a CAD 530 million pool of nonperforming loans (Estey 1986, 492).

Outcomes <i>(continued)</i>	Liquidity support kept the bank operational for five months before its failure, which resulted in large government losses, a moderate banking crisis, and changes to Canadian financial supervision
Notable Features	The BoC did not place any restrictions upon the bank, accepted unassessed loans as collateral, and relied on OIGB for monitoring

Following an assessment of the nonperforming loan pool, between March 22–24, 1985, Canadian authorities negotiated a modified version of the CCB plan with the intent of restoring CCB to viability. A consortium of the government of Canada, the government of Alberta, the CDIC, and the six largest Canadian banks announced on Monday, March 25, a support package consisting of a CAD 255 million loan to CCB, along with further liquidity support from the BoC as needed. This action preserved the assets side of CCB’s balance sheet. The OIGB explained in correspondence to the Department of Finance: “upon completion of the transaction, the Bank will receive [CAD] 255 million in cash and reduce the carrying value of its loan portfolio. There will be no other changes to the balance sheet of the Bank” (Estey 1986, 496). However, it is not clear how the CCB described the consortium package on the liabilities side of its balance sheet—as a loan or a type of equity—since CCB’s balance sheet for that period is not available. In the view of Justice Estey, “the [CAD] 255M, by the terms of the interim and final agreements, remains an obligation in debt of the CCB” (Estey 1986, 115). This loan was contingent upon the debenture holders agreeing to subordinate their claims to the advances made by the parties involved in the rescue program and the conditions of the repayment program called on the CCB to pay back 50% of its pretax profits to the consortium members until the capital on the refinancing deal was repaid in full (Estey 1986; LA Times 1985).

Immediately following the March 25 announcement of the support package, a number of CCB counterparties cancelled or declined to renew contingent lines of credit. The BoC said in an

⁴ According to FRED, USD 1 = CAD 1.39 on March 14, 1985.

April 18 press release that it was “ready to provide the Canadian Commercial Bank with whatever amount of liquidity support it may require” (Estey 1986, 500). The CCB’s Canadian and US performing loan portfolios were used as collateral for the BoC’s liquidity support, in two stages. Initially, the Canadian loan portfolio was pledged, followed by the US loan portfolio after the full extent of the bank’s liquidity needs became apparent. There was no formal cap on lending against this, but the BoC stated afterward it was willing to lend at least 75% to 80% of the collateral’s book value (Bank of Canada 1986). The BoC relied on the OIGB for assessing the CCB’s collateral; the OIGB, for its part, mostly relied on external auditors hired by the CCB for its assessments (Estey 1986).

In May and June 1985, a team led by the manager of the Toronto-Dominion Edmonton commercial branch and a vice president of the BoC inspected CCB’s nonperforming loans and concluded around CAD 50 million in additional provisions would be needed. Following this inspection, the heads of the six support group banks⁵ met with the minister of finance and emphasized the need to determine whether the bank was solvent. In a final inspection of CCB’s loans, George Hitchman, a retired deputy chairman of the board of the Bank of Nova Scotia, concluded over the summer of 1985 that there could be as much as CAD 500 million of further write-downs needed. On August 13, the CCB admitted that it would be insolvent by the end of the fiscal year without further government assistance. After this point, following some deliberations on the options for resolving the bank, the authorities determined to liquidate CCB on September 1, 1985 (Estey 1986).

One immediate consequence of CCB’s failure was the decision to also liquidate Northland Bank, which was a smaller bank in a comparable, although less severe, condition (Estey 1986). Subsequently, the loss of depositor confidence in other regional Canadian banks resulted in “the virtual elimination of regional banks in Canada” through mergers and acquisitions (MacIntosh 1991, 225–226). The government of Canada effectively accepted responsibility for misleading investors as to the state of CCB and Northland and passed legislation agreeing to compensate all depositors, both insured and uninsured, with the CDIC paying out a total of approximately CAD 906 million across the entire banking sector in 1985 (CDIC 1986; CDIC 2016; MacIntosh 1991).

No information was found on whether the participating banks and government were paid back for the consortium loan.

At the end of 1986, the BoC’s outstanding advances to CCB stood at CAD 481 million, down from CAD 1.1 billion at the end of 1985 (Bank of Canada 1987). By the end of 1988, the outstanding combined advances paid out by the BoC to both CCB and Northland Bank stood at CAD 143 million (Bank of Canada 1989).

⁵ These comprised the six largest Canadian chartered banks: the Royal Bank of Canada, the Toronto-Dominion Bank, the Bank of Montreal, the Bank of Nova Scotia, the Canadian Imperial Bank of Commerce and the National Bank of Canada.

Figure 1: Timeline of the CCB Failure

Date	Event
Fall 1983	FDIC issues highly critical report to CCB's California-based Westlands Bank subsidiary; CCB recapitalizes subsidiary and transfers bad loans to Los Angeles Agency, another CCB subsidiary
Feb. 1985	Fed issues report on USD 108 million of "doubtful and substandard" loans at the Los Angeles Agency; many of these loans are now transferred to the CCB parent entity
March 14, 1985	CCB CEO Gerry McLaughlan flies to Ottawa to make an unannounced presentation to officials at the OIGB and BoC; he says the bank will not survive without "massive assistance"
March 22–24, 1985	The BoC, the government of Canada, the government of Alberta, and the six largest Canadian chartered banks negotiate through the weekend to devise a rescue plan
March 25, 1985	CCB Support Package group announces support package that includes "purchasing" CAD 255 million of nonperforming loans to restore solvency along with BoC liquidity support
April 18, 1985	BoC announces that it is "ready to provide the Canadian Commercial Bank with whatever amount of liquidity support it may require" to restore confidence among fleeing wholesale depositors
Aug. 1985	An inspection of CCB's performing loan books concludes that there could be as much as CAD 500 million of further write-downs required, an amount far greater than the bank's capital
Sept. 1, 1985	OIGB declares CCB nonviable; the BoC ceases to provide liquidity advances; and the minister of finance appoints a curator and places CCB into liquidation
Dec. 20, 1985	The Parliament of Canada passes the Financial Institutions Depositors Compensation Act, providing full compensation for uninsured depositors of CCB and Northland Bank

Sources: Estey 1986; authors' analysis.

Summary Evaluation

The BoC's liquidity support program allowed CCB to fund itself for more than five months until the bank was declared nonviable by the OIGB, at which point the BoC ceased to provide liquidity advances. The BoC's justification for the liquidity support to CCB was predicated on the OIGB's repeated assertion that CCB was solvent and viable. In its submission to the Estey Commission, the BoC stated that it did not have the power to make assessments on the solvency and viability of banks and relied on the OIGB by necessity (Bank of Canada 1986).

The Estey Commission, which reviewed CCB's failure, recommended that "the present statutory provision requiring publication of liquidity advances by the Bank of Canada be repealed" (Estey 1986, 342). The BoC, in its submission to the Commission, did not take a view on whether it should publish information about liquidity advances. It described the argument for confidentiality but then also noted: "The funds advanced are public funds and the public is entitled to information on the manner in which those funds are utilized" (Bank of Canada 1986, 24–25).

The Estey Commission placed much of the blame for the failure of CCB and Northland Bank on the weaknesses in Canada's banking supervisory and regulatory system. Specifically, the

Commission found that the Canadian bank supervisory model—where regulatory oversight was shared among the OIGB, CDIC, and BoC—lacked cohesion, direct oversight of banks' loan portfolios, and an effective enforcement mechanism to address emerging risks. In particular, the OIGB's inability to respond decisively to early warning signals from the troubled banks was highlighted as a fundamental flaw (Estey 1986). In response, the Canadian government established the Office of the Superintendent of Financial Institutions (OSFI), which aimed at addressing some of the recommendations by combining the OIGB and Department of Insurance with the powers to supervise and regulate all federally regulated financial institutions (OSFI n.d.; Parliament of Canada 1987).

In November 1985, a House of Commons committee recommended that bank supervisors should set limits on the liquidity support the BoC may provide to financial institutions, noting that:

Recent developments have demonstrated that the market may react precipitously and adversely to any bank receiving liquidity support from the Bank of Canada. Liquidity support has tended to erode public confidence in an institution. Justifiably or not, the Committee believes that when public confidence in a deposit-taking institution becomes visible shaken, the supervisor should take remedial action to rectify any weaknesses there may be or restore public confidence (House of Commons 1985, 34).

A Senate committee said in December 1985 that it was “concerned with the apparent alacrity with which the Bank of Canada is prepared to make advances to troubled banks” (Little 1985).

The committee concluded that the CCB bailout:

was doomed from the outset because the financial condition of the bank was materially worse than that on which the package was premised. Members of the committee are divided on the issue of whether the Government ought to have known this before the package was negotiated (Little 1985).

Context: Canada 1985–1986	
GDP (SAAR, nominal GDP in USD)	\$366.2 billion in 1985
	\$379.0 billion in 1986
GDP per capita (SAAR, nominal GDP in USD)	\$14,170.1 in 1985
	\$14,521.2 in 1986
Sovereign credit rating (long-term debt)	Moody's: Data not available in 1985
	S&P: Data not available in 1985
	Fitch: Data not available in 1985
	Moody's: Data not available in 1986
	S&P: Data not available in 1986
	Fitch: Data not available in 1986
Size of banking system	\$249.5 billion in 1985
	\$259.9 billion in 1986
Size of banking system as a % of GDP	68.1% in 1985
	68.6% in 1986
Size of banking system as a % of financial system	80.3% in 1985
	79.7% in 1986
Five-bank concentration of banking system	Data not available in 1985
	Data not available in 1986
Foreign involvement in banking system	Data not available in 1985
	Data not available in 1986
Existence of deposit insurance	Yes in 1985
	Yes in 1986

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The purpose of the BoC liquidity provision was to preserve confidence in the bank and Canada's financial system and prevent contagion.**

In the years leading up to the CCB collapse, large losses among Canadian banks stemming from lending to developing countries,⁶ oil shocks, and the mass failure of trust companies⁷ had weakened the domestic financial system (Kobrak and Martin 2018). Since its founding in 1976, the CCB had embarked on a rapid expansion in Western Canada and then into California and Eastern Canada (Estey 1986).

After some initial success, problems began to emerge for CCB owing to the generally poor performance of its loan book and the onset in 1982 of a deep and prolonged recession in Western Canada (Estey 1986). In 1983, CCB first requested liquidity support from the BoC because of its associations with failing trust companies. The BoC agreed in late January 1983 to provide extraordinary advances to CCB if needed and took security collateral for that purpose. The BoC also convened a meeting with the six largest Canadian chartered banks—the Royal Bank of Canada, the Toronto-Dominion Bank, the Bank of Montreal, the Bank of Nova Scotia, the Canadian Imperial Bank of Commerce, and the National Bank of Canada—to arrange a special line of credit for CCB, which CCB drew upon to survive the episode without need of the BoC facility (Bank of Canada 1986). CCB repaid all borrowings to the banks by June 1983. CCB survived that episode. By the end of 1984, it had a loan portfolio of CAD 2.3 billion (Estey 1986).

By early 1985, CCB was no longer earning a positive net interest margin owing to its high proportion of nonperforming loans. Further, its cash income had dried up, leaving the bank without a viable future. On March 14, 1985, CCB CEO Gerry McLaughlan flew to Ottawa to make unannounced presentations to officials at the BoC and the OIGB, in which he said the bank would not survive unless the government provided it “massive assistance” (Estey 1986, 105).

The CCB CEO presented the government with three options: recapitalization, merger, or liquidation (Estey 1986). The Canadian authorities did consider liquidating the bank and a prospective merger with an acquiring institution, recognizing the latter option would also likely require government support. In particular, National Bank, Canada's sixth-largest bank, was considered as a potential acquirer, but this possibility was dismissed for political reasons (Johnson 1986).

⁶ These countries included Brazil, Argentina, Mexico, and Nigeria.

⁷ Canadian trust companies were lightly regulated entities permitted to engage in certain banking activities. By the time of the CCB rescue, risky lending practices and an unfavorable interest rate environment had led to the failure of 10 notable trust companies requiring CDIC payouts totalling more than CAD 3 billion (Macintosh 1991).

The CDIC, which participated in the consortium package, also decided it was important to support the intervention, noting that participating in the rescue attempt would limit risk or “avert the loss which it would face if the CCB failed” (CDIC 1986, 8).

Canadian officials feared that the failure of CCB could spark a broader liquidity crisis for two main reasons. Most significantly, there were a number of similarly vulnerable regional banks in Western Canada.⁸ They also had concerns about the potential impact on interbank funding markets and the risk of international depositors and investors losing confidence in Canadian banks (Estey 1986). BoC Governor Gerald Bouey was a particularly strong advocate for the CCB rescue, despite skepticism expressed by some other government officials. Ultimately, concerns about potential negative impacts on the already struggling economy in Western Canada tipped the balance in favor of proceeding with the rescue of CCB (Johnson 1986). According to the BoC,

it was crucial that the Bank of Canada be in a position to provide advances promptly to the Canadian Commercial Bank to prevent its failure due to lack of liquidity and to help maintain market confidence in similar institutions that might have been susceptible to contagion problems (Bank of Canada 1986, 9).

In the BoC’s submission to the Estey Commission, the BoC clearly explained its thinking on its role as lender of last resort:

Extraordinary advances are intended to prevent the failure of the particular institution that is illiquid but still solvent and to preserve confidence in that institution and in other deposit-taking institutions and the financial system. This latter concern is sometimes referred to as the “contagion” problem, where the difficulties of one deposit-taking financial institution may lead to a general market concern that other deposit-taking financial institutions could be subject to the same problems, thus putting the stability of the financial system as a whole at risk. Depositors have a considerable incentive to withdraw their funds from an institution when they believe, whether justified or not, that the institution is experiencing difficulties. . . . When depositors see that there are no problems in obtaining their funds, that their initial concerns are unfounded and that the institution is continuing to operate without difficulty, confidence should return. Losses of confidence can develop and spread with great speed and, for extraordinary advances to be effective, the central bank must be prepared to lend quickly and without hesitation (Bank of Canada 1986, 2–3).

⁸ The institutions of concern did indeed encounter problems after CCB’s collapse and either failed or merged with other banks despite a government bailout of uninsured CCB depositors (Macintosh 1991).

2. Part of a Package: The consortium loan and the BoC's liquidity support to CCB were part of the same support package, announced by the Department of Finance in March 1985.

The consortium loan and the BoC's liquidity support to CCB were announced as part of a single support package. The first component of this package was an injection of cash into CCB from a consortium that included the Canadian federal government, Alberta provincial government, the CDIC, and the six largest Canadian banks. This action involved purchasing the losses on a CAD 530 million pool of nonperforming loans by buying a junior claim at a par value of CAD 255 million; the intended purpose of this was to allow the CCB to write off large losses while remaining solvent. This loan was contingent upon the agreement of the debenture holders to subordinate their claims to the advances made by the parties involved in the rescue program, and it required the CCB to pay back 50% of its pretax profits to the consortium members until the capital on the refinancing deal was repaid in full (Estey 1986; LA Times 1985).

However, there was some disagreement over the nature of the CAD 255 million participation by the consortium. Estey contended that the CAD 255 million was "simply a liquidity advance, "since the final participation agreement would still require CCB to repay the consortium members in the event of its own liquidation (Estey 1986, 125).⁹ Estey wrote, "The Inspector General, therefore, was in error in finding the bank to be solvent upon receipt of the \$255M" (Estey 1986, 115). The day after CCB failed, Alberta's provincial treasurer called its CAD 70 million participation in the consortium a deposit, for which he expected full recovery (Legislative Assembly of Alberta 1985). In 1992, the Supreme Court ruled that the consortium's participation ranked *pari passu* with other unsecured creditors (Supreme Court of Canada 1992).

In addition to the CAD 255 million cash injection, the governments of Canada, Alberta, and British Columbia also purchased CAD 39 million subordinated debentures at par value from the investors who held them, in three equal tranches (Estey 1986). These debentures had little value, since they were subordinated to the claims held by the consortium members.

Beyond these measures, the BoC sought to bolster confidence by exercising moral suasion when the largest Canadian chartered banks began to withdraw lines of credit to CCB. On April 10, Governor Bouey met with representatives from the six largest Canadian banks—the same banks that had participated in CCB's recapitalization—to express concerns that their reluctance to conduct regular business with CCB was undermining market confidence. In late May, with the minister of finance's support, Governor Bouey personally wrote to each of the six major chartered banks imploring them to resume normal relations with CCB. Despite Governor Bouey's appeals, it is not apparent that banks resumed regular business

⁹ Estey (1986) also wrote, "It is surprising that the 'rescue' moneys of \$255M were simply paid through the CCB to the Bank of Canada in reduction of liquidity advances" (115).

with CCB, with the president of the Royal Bank of Canada stating that confidence could not be restored as CCB continued to draw from the BoC (Estey 1986).

3. Legal Authority: The BoC granted liquidity support under Section 18(h) of the Bank of Canada Act.

According to the Bank of Canada Act, the BoC could “make loans or advances for periods of not more than six months to any member of the Canadian Payments Association” upon receipt of eligible security including mortgages (Parliament of Canada 1985b, sec. 18). These loans or advances were eligible to be renewed (Estey 1986).

In its submission to the Estey Commission, the BoC described two types of liquidity support allowed under the Bank of Canada Act: ordinary, one-day advances to banks encountering temporary reserve shortfalls, and extraordinary advances to “banks which are experiencing difficult liquidity problems because of a loss of depositor confidence and are unable to meet deposit withdrawals from their own resources (that is, selling liquid assets) or from additional deposits raised in the market at or near their usual rates of interest” (Bank of Canada 1986, 2).

While the BoC stated that solvency of an institution was a precondition for such advances, they asserted they lacked the legislative authority and capacity to “assess the financial soundness and solvency of chartered banks” and hence relied upon the OIGB by necessity for such assessments (Bank of Canada 1986, 4).

The CDIC Act gave the CDIC the authority to provide emergency liquidity funding to deposit-taking institutions and to assist in improving the regulation of such institutions, but it did not invoke these authorities in the CCB case (Estey 1986).

4. Administration: The Bank of Canada administered the provision of its liquidity advances with limited constraints and in consultation with the OIGB.

Following the announcement of liquidity support, the BoC made logistical arrangements pertaining to CCB’s liquidity needs (Bank of Canada 1986). The BoC maintained communication with the OIGB during various inspections of CCB’s loans and continued to lend when the report written in August 1985 by George Hitchman, a retired deputy chairman of the board of the Bank of Nova Scotia, described the condition of CCB as very serious. By mid-August, the BoC believed that CCB was heading toward insolvency; however, it continued providing liquidity advances until September 1, 1985, when it received a letter from Inspector General Kennett stating that CCB was no longer viable (Bank of Canada 1986).

5. Governance: The BoC consulted with the minister of finance, who had the power to override BoC decisions.

To provide oversight, the BoC has a board of directors, which includes the deputy minister of finance as a nonvoting member, and the BoC is ultimately accountable to the Canadian minister of finance (Parliament of Canada 1985a, sec. 5). The BoC needs to consult with the

minister of finance, who has the right to issue overriding directives in the case of disagreements on issues of monetary policy (Parliament of Canada 1985a, sec. 14).

Within a month of the collapse of CCB and Northland Bank, the government commissioned a special inquiry report into the circumstances of these failures led by Supreme Court Judge Willard Estey (Estey 1986; Kobrak and Martin 2018, 265). Shortly thereafter, in December 1985, the Canadian parliament passed the Financial Institutions Depositors Compensation Act to provide compensation to all uninsured depositors at an initially estimated cost of CAD 875 million (Estey 1986). The circumstances surrounding the CCB collapse led to sweeping regulatory changes, including the creation of the OSFI, which subsumed the OIGB and Department of Insurance, and was given a strengthened mandate to provide effective supervision of banks and insurance companies (Kobrak and Martin 2018, 265).

6. Communication and Disclosure: In press releases about CCB, the BoC conveyed confidence, while BoC Governor Bouey used moral suasion with CCB counterparties.

During CCB's problems in January 1983 resulting from associations with failing trust companies, the BoC issued a press release stating: "Canadian Commercial Bank is a solvent and profitable bank and if it requires any liquidity support, the Bank of Canada will provide it" (Estey 1986, 165–66). When problems re-emerged in March 1985, Governor Bouey advocated for a rescue of CCB and led negotiations during the crucial days of March 22–24, despite the BoC not being a contributor to those funds (Estey 1986; Johnson 1986).

Coming out of the weekend, on March 25, 1985, the Department of Finance issued a press release announcing the consortium's support package for CCB, clearly stating the imperative to protect the bank, the Western Canadian economy, and the domestic financial system. The Department of Finance described the support package as "an infusion of capital with repayment provisions," contributed by the Province of Alberta, six Canadian banks, the CDIC, and the federal government to restore the CCB's solvency (Estey 1986, 499). It also announced the availability of liquidity support for CCB and an overall accommodative stance for emergency lending: "the Bank of Canada stands ready to provide liquidity for Canadian Commercial Bank, if requested, as well as for any other Canadian bank" (Estey 1986, 499). This emergency liquidity assistance began almost immediately for CCB and reached CAD 492 million, or 40% of their Canadian dollar loan portfolio, by mid-April 1985 (Bank of Canada 1986).

As the CCB continued to experience a loss of depositors and wholesale funding after the announcement of the support package, on April 18 the BoC issued the following press release to bolster confidence:

... with the agreement of the Canadian Commercial Bank, the Governor, Mr. Gerald K. Bouey, confirmed that the Bank of Canada has been providing liquidity support to that chartered bank. The Governor noted that it is the role of the central bank to act as an ultimate source of liquidity for Canadian banks, and he reiterated that the Bank of

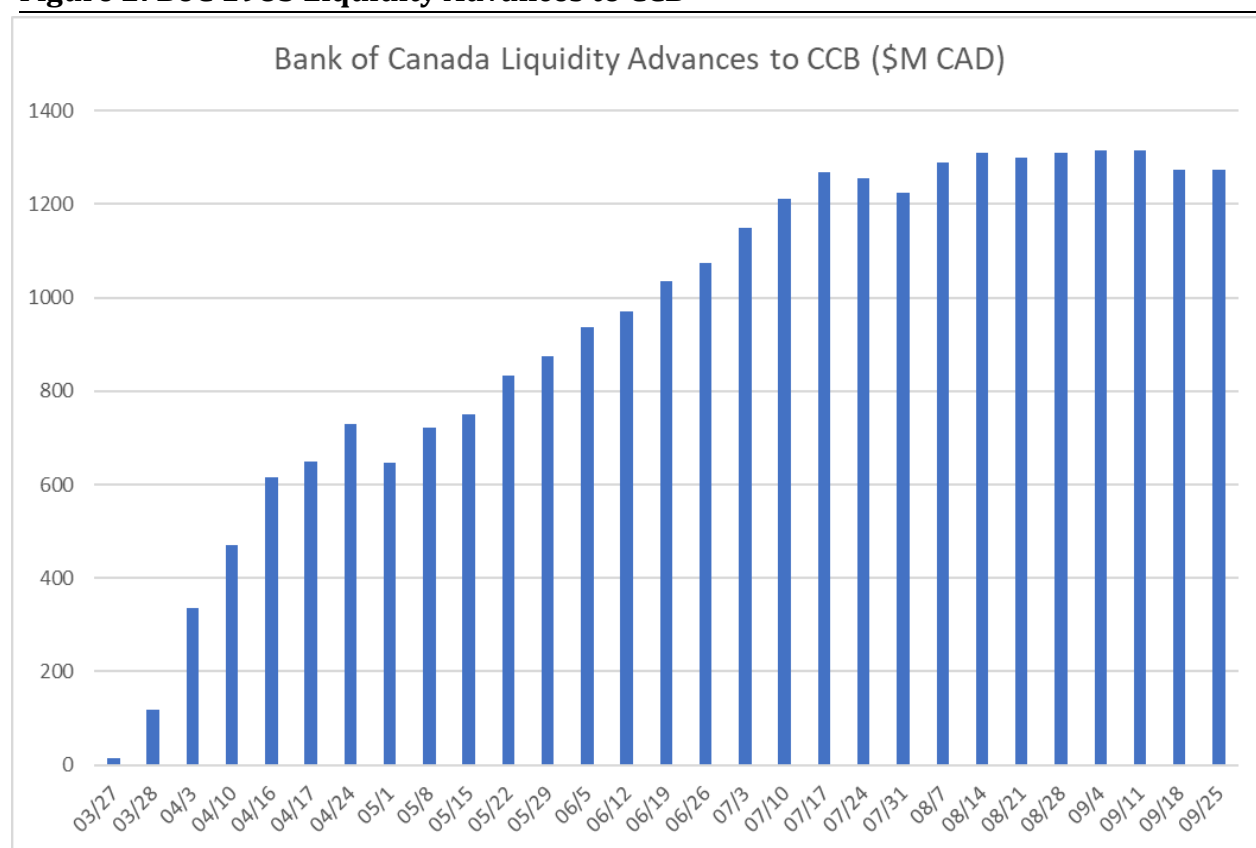
Canada stands ready to provide the Canadian Commercial Bank with whatever amount of liquidity support it may require (Estey 1986, 500).

While the BoC identified CCB by name, at the time, the BoC published recipients of liquidity advances in weekly and monthly reports, so information about its support to CCB would have been publicly available regardless of press releases (Estey 1986).

7. Source and Size of Funding: The liquidity advances to CCB did not have a firm cap and peaked at CAD 1.3 billion, accounting for 65% of the bank's total funding.

The BoC's April 18, 1985, press release indicated that liquidity advances to the CCB would be provided at whatever level the CCB required (Estey 1986). The BoC stated that it accepts loans as security at book value and that as "the composition of a loan portfolio changes over time and the valuation of individual loans is subject to considerable fluctuation, the Bank of Canada's approach has been to take as security a floating charge against the total loan portfolio" (Bank of Canada 1986, 5–6). The BoC was providing approximately 65% of CCB's funding at the time the bank collapsed at over CAD 1.3 billion as shown in Figure 2 (Estey 1986). In its submission to the Estey Commission, the BoC indicated that if funding reached 75% to 80% of the book value of supporting collateral it would have triggered further action to assess the quality of the pledged loan portfolios (Bank of Canada 1986).

Figure 2: BoC 1985 Liquidity Advances to CCB



Source: Estey 1986.

8. Rates and Fees: The rate charged to CCB was not disclosed, but the government-appointed commission reviewing CCB's collapse described the BoC lending rates as "favourable."

The Estey report describes the rate charged on liquidity advances to CCB as "favourable" and conducive toward earning positive net interest margins on new loans. Northland Bank, a similar bank also borrowing from the BoC at the same time, paid a lower rate of interest on its BoC advances relative to comparable lines of credit at the large Canadian banks (Estey 1986, 115).

9. Loan Duration: The BoC loans had a renewable term of up to six months but there was no indication the BoC expected repayment within a specific timeframe.

The Bank of Canada Act permits the BoC to issue loans or advances for durations up to six months, with the option for renewal (Parliament of Canada 1985a, sec. 18). Our research did not uncover the term for the loans that were made, but all BoC lending was subject to a renewable six-month maximum. As indicated in Figure 2, although total advances to CCB increased over time on average, during certain periods it declined. In its submission to the Estey Commission, the BoC stated that with extraordinary advances it "stands prepared to provide any liquidity support required although it naturally expects the borrowing bank to take action, as soon as possible, to reduce its reliance on Bank of Canada advances" (Bank of Canada 1986).

10. Balance Sheet Protection: Liquidity advances were secured by CCB's Canadian and US loan portfolios.

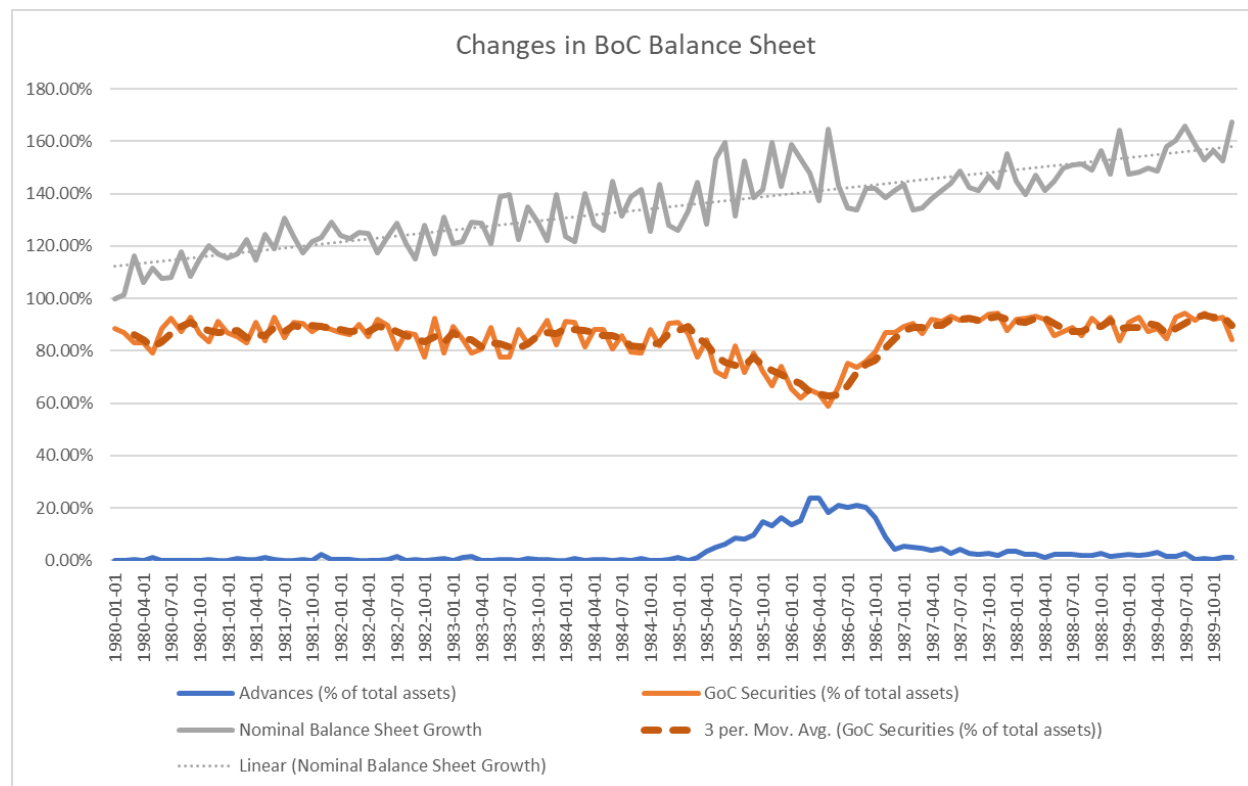
The BoC said that it required liquidity advances to be fully secured. Its normal practice was to secure short-term advances to chartered banks with government securities; however, for larger, longer-term advances in exceptional circumstances, it could secure advances against a bank's loan portfolio if marketable securities were insufficient (Bank of Canada 1986). Shortly following the announcement of the support package in late March 1985, the CCB signed a legal agreement with the BoC for the assignment of its Canadian loan book as collateral. By early April, it became clear that the bank's liquidity needs would increase significantly, and, in mid-April, the CCB signed another agreement to pledge its US loan portfolio as additional collateral. Internally, the BoC had established a benchmark of "75 to 80% of the book value of collateral" as a "reasonable checkpoint" for demarcating when the sufficiency of collateral for further lending might need to be re-evaluated (Bank of Canada 1986).

11. Impact on Monetary Policy Transmission: The BOC appeared to sterilize emergency liquidity by reducing its holdings of government securities.

In the BoC's submission to the judicial inquiry into the failure of CCB and Northland Bank, the BoC gave no indication that its actions had any impact on the transmission of monetary policy (Bank of Canada 1986). The failure of CCB in September 1985 led to significant strain in the financial system, with three of the 10 largest remaining banks (Mercantile Bank, the Bank of British Columbia, and the Continental Bank) being taken over by other Canadian

banks (Kobrak and Martin 2018). Accordingly, BoC advances to troubled institutions continued to increase after the failure of CCB and peaked at approximately CAD 5.2 billion in March 1986 (BoC data; author's analysis). For the duration of this stressed period in the mid-1980s, there were no unusual changes in the growth of the BoC's balance sheet or in the quantum of reserve liabilities. The BoC appeared to sterilize liquidity advances to banks by offsetting reductions in holdings of government of Canada securities (see Figure 3).

Figure 3: Changes to the Size and Composition of Assets on the BoC Balance Sheet, 1980–1989



Source: BoC balance sheet data; authors' analysis.

12. Other Conditions: There were no additional terms imposed on CCB.

According to the Estey Commission, in July 1985 “[t]he Bank of Canada objected to Northland’s use of liquidity advances to finance new loans” (Estey 1986, 578). As the BoC discouraged new lending activity at Northland Bank during the same timeframe at which CCB was receiving large advances, it is possible that similar discouragement was directed at CCB, but there was no explicit mention of this in the literature. The Estey Report also noted that the BoC did not require a change in the CCB management team, a stipulation that was common practice in other jurisdictions (Estey 1986).

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